

Economic hurdles of Pakistan

Pakistan's economy facing challenges

- ❖ Fiscal policy
- ❖ Monetary policy
- ❖ Power crisis
- ❖ Law and order situation
- ❖ Low export and high import
- ❖ Lack of tourism economical issue in pakistan

1. Fiscal Policy

The key objective of Pakistan fiscal policy is sustained economic growth.

- ❖ Poverty reduced.
- ❖ The creation of job opportunities.
- ❖ Investment in physical and human capital.
- ❖ Low Government Revenue
- ❖ Low Productivity
- ❖ Low Infrastructure
- ❖ Low Investment Formation
- ❖ Low Wage and Low Employment
- ❖ Low Motivation
- ❖ Low Consumption
- ❖ Low Profit

2.Monetary policy

- Monetary policy will have to play an active role in moving the country towards better economic management.
- ❖ Foreign reserve currency.
- ❖ Printing of Rupees is also a problem.
- ❖ Create inflation.

Power Crisis

- The most significant problem which has effected the growth of state adversely.
- Capital flight.
- Increasing Unemployment.
- Uses of alternative (solar energy, coal energy, wind energy) which might reduce load.

Law and Order situation

- Poor economy are always the poor (vicious circle).
- Positive relation between crime and major economic variables.
- Increase in inflation, poverty, unemployment, and decline in investment.
- Modern training may be imparted to police force to combat terrorism.

Low export and High import

- Crucial problem is budget deficit, shows that import is more than export.
- Create gap between import and export deficit.
- Restrict import and rely own manufacturing goods.
- Reduce gap between import and export.

Lack of Tourism

- Pakistan is a scenic beauty.
- Past years this beauty play important role to increase economy growth.
- Natural disaster and law and order problem decrease tourism. ☐ Bring foreign currency.
- Regain peace, attract the tourist. ☐ Improved economy condition.